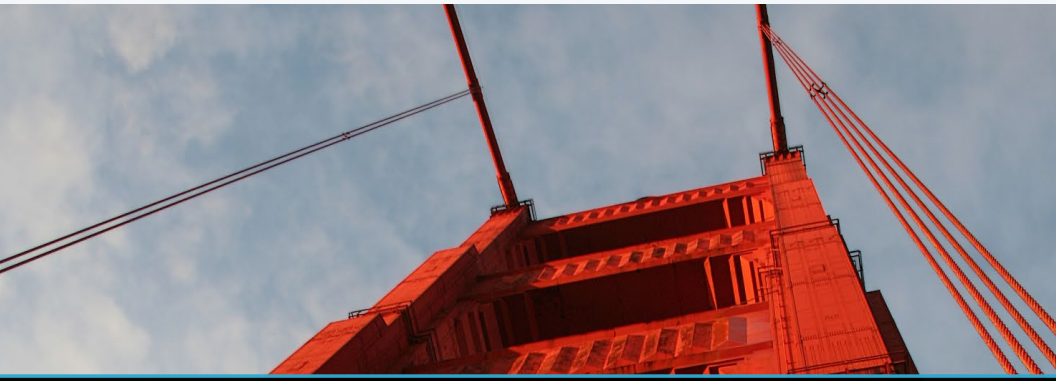
THE ALTUCHER REPORT



Make 1,000% From the Seven Biggest Moneymaking Trends in America

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SPECIAL REPORT

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In every generation, there are big demographic trends that will change the world.

Trends are an interesting metaphysical topic for several reasons. For one thing, I strongly believe the key to success is to be calm today, since that's the best predictor of a successful day tomorrow. But that doesn't mean you stand on the edge of the beach when a hurricane is coming. You still have to do right now whatever it takes to ensure your survival, to make the moves that will help you and your family survive, and maybe even thrive for tomorrow.

The trends that are coming are that hurricane. When you notice a trend, you do so for several reasons:

- It might indicate what stocks to buy.
- It might indicate what businesses to start. And for every one trend there are many different businesses you can start.
- If it's a negative trend, it might suggest how you can position your family to survive.
- It gives you something to talk about with your friends.
- It gives you ideas that may morph into revenue streams that nobody has ever thought of before.

I will tell you that the way I make money is through the last item listed. I think of ideas for other companies who call me, and my "business" is to help them implement those ideas on their own and become massive successes.

If you combine the ideas that trends give birth to with an understanding of demo- graphic trends, there are trillions of dollars waiting to made.

Most of what I write is about the end of corporatist America or the corporatist world where a handful of institutions and the people that ride them like wild horses are losing the power to make choices for you. Choices regarding what you make, what you eat, where you live, where you educate yourself, whom you marry, what you do to make money, what you do to find peace and happiness. And we know by now that that trend is ending.

The way you deal with end of that trend is by developing the skills of a successful artist/entrepreneur/world leader and using those skills to sculpt exactly the life you want. Without those skills, someone else will start making choices for you and ultimately you will have to live with someone else's choices and not your own. And that won't be pleasant.

A trend is a reflection that some way of life is ending and another way of life is beginning. For instance, Henry Ford could've said that the era of transportation by horse was ending, while that of the automobile was dawning.

No matter what the trend, a group of people will gather and complain. When Henry Ford was talking about his big trend, many people were happy, but then later many people were sad. For one thing, there was horse shit all over the street all the time. It was the end of the era of horse shit in the street. But now because we have to get to work and we live farther out in the suburbs, we need a lot of fuel that we dig out of the earth and then do something to and then spit into the air to get to work. People complain about that. Any time there is change, people will complain, and resist. Some people will always insist that the "old way" was better. But you and I know better.

Most of the trends I'll discuss here are based on two important ideas:

1. **All things end,** and the better we prepare for that end, the more our legacies will just be beginning.

2. **Innovation takes place nonstop.** Humans didn't innovate for 2 million years, and then suddenly, with the arrival of the printing press, we began to innovate at rapid rates. Every year the level of innovation is higher than that of the year before.

So if you want to buffer yourself against everything you ever worry about, it's best to do so by focusing on a trend that relates to one of the above two ideas.

Trend #1: Aging

As you're probably aware, the baby boomers — members of the postwar generation born during the years 1946 to 1964 — are aging. As of a few years back, 76 million boomers had hit the traditional retirement age, and — surprise — kept going. They kept playing tennis. They kept skydiving. And because of the nature of the economy, many of them kept working. But here are a few things that happen to lots and lots of people when they get older:

- They get dementia and Alzheimer's.
- They become more and more farsighted.
- They get lonely.

They look for cosmetic treatments to take care of the veins on their legs, or now-splotchy tattoos they had etched painfully into their skin years earlier that they now regret. They might look for new spouses after old ones get sick or die. Their children are no longer massive financial burdens on them, so they can finally spend some money on travel. Or a fiftieth or sixtieth anniversary. Or an eightieth-birthday party.

But I know a secret: The 'end of aging' is closer than anyone thinks.

The "centenarian" population is growing rapidly.

Centenarians are people over the age of 100. The United Nations tracks this data every year. As of 2012 (the latest statistics available), there are more than 316,000 people alive today (or at least as of 2012) over the age of 100.

A century ago, this number was effectively zero.

This number may seem small considering the world's population is 7.3 billion. However, the centenarian population has grown nearly 70% over the past three decades, according to Census Bureau.

To put this in perspective, the total population has increased just 36% over the same time period.

According to the United Nations, the centenarian population is expected to grow more than 10-fold over the next 35 years. If their forecast is accurate, there will be over 3 million people living over the age of 100 by 2050.

People are living longer, and this huge jump in life expectancy is directly related to new medical technologies.

Take immunotherapy for example.

This technology enhances your immune system to fight off all kinds of diseases. In fact, immunotherapy treatments have added more than 10 years to the lives of numerous patients who were diagnosed with terminal cancer.

To me, gene therapy is one of the greatest technologies in the world. Doctors have found a way to genetically alter cells to produce proteins to kill viruses. This is amazing

Gene therapy is now the go-to treatment for Human Immunodeficiency Virus (HIV). Today, people with HIV (like basketball legend Magic Johnson) can live for decades with this disease.

Gene therapy is also being used to treat Parkinson's disease, Huntington's disease, hemophilia and numerous forms of cancer.

DNA sequencing is also becoming more accessible to the average person.

In 2001, the cost to sequence an individual's genome cost $100 million. This included dozens — if not hundreds — of technicians working full time using the best equipment available.

Naturally, very few people had access to this type of information as a result.

But that's changing.

By 2011, the cost to sequence an individual's genome dropped dramatically to roughly $10,000, according to the National Human Genome Research Institute.

That's a massive reduction in just a decade.

But at $10,000, gene sequencing was still very expensive for the average person. And most health insurance companies did not cover this type of test at the time. That means you would have had to pay the full amount (out of pocket) to get this test done.

Today, the cost to sequence your genome is less than $1,000. And most insurance companies will pay for this test if your doctor requests it.

Boom. Game changer.

These DNA tests can scan your DNA for about 50 conditions including all types of cancers, Alzheimer's disease, Crohn's disease, kidney stones, obesity, arthritis, and types 1 and 2 diabetes. They can determine which conditions a person is likely to contract over the rest of their life.

In other words, a DNA test is a road map showing the major diseases likely to kill you in the future.

But because it's a map, you can actually change your lifestyle ahead of time to lower your risk of such a condition. This can extend your life by decades.

From my experience investing in some of the biggest technological trends, fortunes are made by following the "smart money." And for investors, we are still in the early innings of a sector that's expected to grow to $345 billion by 2018, according to consulting firm BCC Research.

To put this number in perspective, that's more than three times bigger than the entire cancer treatment industry. Anti-aging — or, as I like to call it, anti-death"—is also one of the biggest growth markets within the multi-trillion dollar healthcare industry.

But this technology is not like robotics or self-driving cars.

It will not take years or even decades to make huge strides in these industries. Companies are already making big strides in helping people live longer. And some of these names could offer life-changing gains for investors in the not too distant future.

What's more, these companies are not going to have to go out and find new customers. They won't have to develop new markets. Everyone on the planet is interested in living longer and being healthier — we are all potential customers.

One way that we all can get involved in this today is by investing in some of the companies that are doing this groundbreaking, anti-aging work. **Celgene (Nasdaq: CELG)** is a good example here. Anti-aging technology still accounts for less than 20% of total revenue for Celgene, but the company will benefit from the massive anti-aging growth trend, which is still very much in its infancy. I'm prepared to watch this trend grow, and with it Celgene's already-successful anti-aging technology.

Trend #2: Drones

On September 7, 2000, the first unmanned aerial vehicle (UAV) crossed into Afghanistan. The mission was to find Osama bin Laden.

Just two years earlier, suicide bombings occurred at U.S. Embassies Nairobi, Kenya and Dar-es-Salaam, Tanzania. These attacks (the U.S. Embassies are roughly 400 miles apart) took place just minutes apart. And bin Laden claimed responsibility.

After these bombings, the U.S. knew they had to deal with bin Laden directly. The goal was to find the terrorist leader and kill him as quick as possible. However, they first had to find him.

The Pentagon suggested a few ideas. The first was to mount a giant hidden telescope to an Afghan mountain. Their hope was to spot bin Laden while walking in the streets. They also talked of placing spies deep within bin Laden's terrorist camps.

These measures were not only long-shots... they would take an exceptional amount of time to implement. After all, time is a critical factor when one of the most wanted men in the world is launching an all-out war on America.

The CIA disagreed with the Pentagon's plans of action. Instead, the agency wanted to try something that was unconventional. They decided to send in the Predator.

The Predator is an unmanned-unarmed drone. This was used as a spying platform in the past. But the Predator drone had major limitations.

For example, it was bulky and easily spotted by anti-air defenses. It was also powered by a small four-cylinder engine that had the same horsepower as an old VW Beetle. This resulted in past drones being shot down by enemies. It was also incapable of carrying missiles.

However, the Predator could take high-definition pictures from long distances. More important, it could laser-illuminate a target for Tomahawk missiles. The only problem… these Tomahawks would have to be launched from a submarine or manned-aircraft that was hundreds of miles away.

Within two weeks of its first launch into Afghanistan, the Predator did its job...

While circling just above Tarnak Farms near Kandahar, bin Laden was spotted. He was wearing a white robe and was surrounded by a large security detail. The CIA tracked him for several hours.

Yet, there was no guarantee cruise missiles could get to bin Laden's location in time. Remember, the Predator was not armed. That meant time was needed to confirm the pictures, input coordinates, get the appropriate approvals, then fire a missile from hundreds of miles away to the target.

The CIA chose not to fire on bin Laden in September 2000. In other words,

the agency missed their chance to kill bin Laden before the World Trade Center attack.

After briefings and depositions, it was determined bin Laden would have been taken-out if the Predator was armed.

Shortly after these series of events, the military rushed to turn the Predator into an "assassination tool." They spent billions on this technology creating faster, more efficient drones... They became almost untraceable... And they could sneak into hostile areas and take out a target within minutes.

According to research firm Goldman Sachs, the U.S. military will spend more than $70 billion on drones over the next few years.

However, this technology is expanding well beyond our military...

- They are being used by thousands of companies to lower costs and increase productivity.
- They are being used to beam Internet to remote places around the world.
- They are being used to send food and medical supplies to hard to reach areas hit by hurricanes and earthquakes.

Demand for drones is also exploding on the consumer level. These mini-helicopter looking gadgets (called quadcopters) have high-definition cameras attached to them. This allows users to take enhanced photos and videos from more than 200 feet in the sky.

Over the past few years, drones leaped from military to the consumer level.

The price of drones has come down significantly. In 2014, it was difficult to find a quality drone for less than $1,200. Today, some drones can be bought for less than $300, which includes the camera and GPS. This explains why hundreds of millions of dollars poured into the drone industry over the past year. In fact, more than three-times the amount of cash has been invested into drones in 2015 compared to the previous year.

But this is just the tip of the iceberg.

According to Goldman Sachs, the military and consumer drone markets present nearly a $100 billion market opportunity ($70 billion for military / $21 billion for consumer).

However, these two markets are just a small piece of the overall pie for drones.

For example, construction companies are using drones to produce 3D images of properties. This results in better measurement accuracy. Drones can also do this work in a fraction of the time. According to Popular Science, drones cut the surveying time down from 100 hours to just two!

Agriculture could be one of the biggest markets for drones. Most agriculture solutions (monitor crops, identify problem areas) require satellite or airplanes for imagery. These are costly services. Drones provide a much cheaper alternative. They can survey massive amounts of land for diseases, nutrient deficiencies, or anything that can disrupt crop yields (also known as agriculture output).

Oil & gas companies are using drones to inspect offshore platforms and refineries. There are over 2,300 platforms according to the Bureau of Ocean Energy Management and more than 740 refineries according to Bloomberg. Drones could save oil & gas companies tens of millions of dollars in maintenance costs for these two industries.

Drones can also be of service to pipeline companies. This industry can save big money since helicopter crews can charge up to $4,000 an hour to survey and inspect pipelines (which is an industry requirement).

If you're looking to invest in the drone megatrend, my number one pure-play is **AeroVironment (NASDAQ: AVAV)**.

AeroVironment has been building UAS's for more than 40 years. Today, the company is the largest supplier of small, unmanned aircraft systems (UAS) to the Pentagon and to dozens of allied nations. Its products are also used by law enforcement agencies, first responders, energy and utility companies, transportation companies, and farmers to better manage and monitor their assets.

Over the past few years, AeroVironment has made strategic investments

to increase their footprint outside of the U.S. and to build upon its industry leading technology. This resulted in much lower EBITDA and margins over the past few years.

The company also did a great job over the past few years expanding its business internationally. AeroVironment now sells its drones to 35 Allied nations spanning from the Middle East to Europe and Central Asia. These are incredible long-term growth markets for the company.

Trend #3: Cybersecurity

You are being watched. And the people who are watching you are getting better at it. There exists both indirect and direct surveillance. When you make a purchase or a phone call, indirect surveillance hones in on certain patterns and either labels you as a terrorist or not. They don't know or ask who you are until they need to.

Direct surveillance involves the satellites that are constantly taking photos of your street and sending them to the government. There are companies that do this. When you surf a website about lingerie and then go to the New York Times op-ed website, what do you see? An ad for Victoria's Secret on the right. This is called "retargeting." There are companies that look at what you do and then retarget the ads that follow you around the Internet.

When you walk on a street in New York City there are companies that not only look at you the way a camera would, but also look at what you do and analyze it. If you are carrying a backpack, and then you put the backpack down in the middle of the street and walk away, there's a company that rings a little bell somewhere and police are alerted.

You're being watched all the time. And it's only going to get worse, or better, depending on how you view it.

Fortunately, there are many ways you can take advantage of this trend: you can write a newsletter about the technologies. You can make your own

company involved in the "observation industry", a term I had never heard until recently but an industry valued at over $100 billion nonetheless. You can buy one or some of the many stocks that keep getting bigger each year. You can work for one of these existing companies. You can be a banker or an investor in these technologies, both in the public and the private space.

There is a lot of information out there about each and every one of us. But the real opportunity lies in protecting that information.

Consider the story of "John," one of the first hackers I ever met personally. (By the way, John is not his real name. For his own safety, he asked me to keep his name a secret.)

He had a successful business as a teenager more than 15 years ago. He hacked into his high school's database where he changed the grades for most of the students. He charged each student $50 for each grade change and made a fortune over three years.

But it didn't last. By his senior year, he had been arrested by the Federal Bureau of Investigation (FBI). Hacking into a school network is a federal offense. He says this arrest was one of the best things that ever happened to him.

He didn't give up on his computer skills, he just brought them to side of the good guys.

Today, John helps the government crack cyber crimes. He is a consultant to ABC Television and the Discovery Channel, helping them investigate cyber attacks. Right now, he is working on improving the Internet security for one of the largest U.S. banks and is doing some work for the Pentagon.

I spoke to John a few weeks ago about the surge in cyber attacks. He said, "It's getting worse by the month." Hundreds of millions of people have already had their data stolen. And he doesn't see a short-term solution in sight.

When I asked him about corporate hacking, he said he believes almost every Fortune 500 company has been hacked. Most companies just don't disclose this information.

In fact, corporations force security companies to sign a nondisclosure agreement. This way if a hack occurs, security firms can't share this information with the public.

John told me that once a company is hacked, the data is immediately sold on the black market. So when our largest defense companies were hacked, any data that was stolen was immediately sold. Imagine how much money our enemies would pay for the blueprints to our state-of-the-art weapons!

Businesses are taking huge measures to protect their secrets, spending more and more money to protect their greatest assets. And this trend is not expected to slowdown anytime soon.

Global research firm Markets and Markets expects the cyber security market to grow to more than $200 billion by 2021. That's about twice the size of the market to treat cancer patients is right now!

But that's just half the story.

Most companies won't purchase security directly. A large part of their capital spending goes to upgrading and improving software. The best software platforms have built-in, state-of-the-art Internet security systems. So the $200 billion number may actually prove to be conservative.

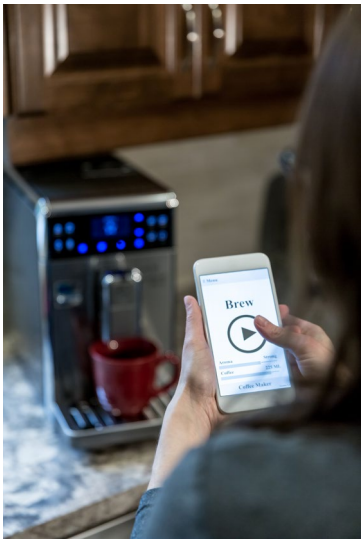
There are a lot of cyber security companies that will be big beneficiaries of all this spending. But, as an investor, I prefer to focus on companies that are making cyber security and protective software a bigger piece of their overall businesses. This includes some of the largest companies in technology.

My favorite of these right now is **Cisco (Nasdaq: CSCO)**. Granted, cybersecurity only accounts for a small piece of Cisco's overall revenue, but that's what I like about it. That exposure gives the company access to this blockbuster trend, and its revenues will keep growing as the trend unfolds thanks to Cisco's existing businesses.

Yes, cybersecurity is scary. And yes, we're at war with hackers from all over the world right now as we speak.

But protecting people from this emerging risk is going to be a massive business opportunity over the next few decades. Investors would do well to watch developments in the space for new opportunities.

Trend #4: The Internet of Things



Soon, just about every device we use — cars, appliances, televisions, alarm systems, fitness bands, eyeglasses, thermostats—will be connected to the Internet. That means you'll be able to control everything through your mobile phone, tablet, or PC.

Every machine will be connected, including airplanes, locomotives and factories.

They will be able to tell us when parts need maintenance, how they can operate more efficiently, and ultimately, how to create a safer environment and increase productivity for all of us.

Cities will be connected, with streetlights, city parks, buildings, buses, garbage trucks, parking lots and more, all working together to help save billions every year in electricity costs. By monitoring this data, we will also be able to reduce traffic and avoid major shutdowns due to unscheduled maintenance. Our world will be smarter and more efficient.

To revisit Cisco, it is their belief that "IoT could be a $19 trillion market opportunity." To put this in perspective, $19 trillion is about the size of the combined market cap of every company in the S&P 500 today.

In fact, consulting firm IHS Technology predicts 74 billion devices will be connected to the Internet by 2025. This is an incredible number, considering the world's population is just over seven billion.

This opportunity is enormous.

That's why some of the largest tech companies are getting in on this trend, including industry leaders Microsoft, Intel, Google, Qualcomm, Apple and several of the world's richest investors. After all, this trend is still very much in its infancy with "more than 95% of the physical world 'unconnected,'" according to Cisco.

The term "Internet of Things" is described in numerous ways. Some consider it a new technology. Others consider it just the connection of existing devices.

But it's much more complex than that. You see, the IoT is an ecosystem.

It's not just about the connectivity of billions of devices. It's about collecting and interpreting massive amounts of data from all of these devices at super fast speeds to help us become smarter, more efficient, and more productive.

It can help parking meters adjust rates based on demand, control traffic lights to cut back on energy costs, and reduce waste management costs with sensor-equipped garbage cans.

Union Pacific is one of the largest railroad operators. It now uses traction sensors to "connect" to its 3,000-plus locomotives in operation each day. It can now monitor bearings to measure vibration, tanker valves to measure pressure, and even the doors to determine if someone is trying to steal expensive cargo.

And millions of healthcare machines are now connected to the Internet as well, including CT and MRI machines, which are now able to upload scans to the cloud for analysis.

This massive, common network allows people to store, analyze, share, and access their data in real time. It provides much faster and better analytics at much lower costs. Surgeons can immediately access this data when patients are in critical condition or are suffering from severe trauma.

My favorite pure-play stock on the IoT is **Cypress Semiconductor (Nasdaq: CY)**, a company that makes the parts that will help connect our devices.

Cypress has made big changes recently. It cut millions in expenses, improved its margins, and is now a major player in some of the biggest growth markets in technology.

As of right now, Cypress is one of the few chip companies that is undervalued, pays a large dividend, and has enormous growth potential. The IoT is the biggest trend in technology, and Cypress is starting to take substantial market share in this potential $19 trillion industry.

Trend #5: Robotics

In 1988 I went to a lecture given by MIT professor Rodney Brooks. I was neck deep in studying the technology behind current-day robotics at the time. He said that robots don't have to start out "smart." They can figure out lots of small things along the way — just like humans, he said. He showed an example of a small robot that would bump into a wall a few times, then realize that a wall was there, and turn around and go a different direction. That robot, more than a quarter century later, is now called the Roomba and vacuums your room. It's also called many other things, in many industries, and has enhanced many technologies. Studying this trend will make you money.

We now fight our wars with robots. We perform surgeries with robots. Robots listen to your phone calls. What do robots need? They are hungry for technol- ogy, for more powerful batteries. Every battery uses lithium. We're going to go through a worldwide lithium shortage (is this a trend, or a subtrend? I don't know, but it's there). They are going to use more powerful cameras. They are going to use more powerful sensors. They are going to use more powerful techniques to communicate and then store what they learn. What they need changes every day because they are getting more and more powerful.

The next big application for robotic technology, in my option, is happening in self-driving cars.

By now, I'm sure you've read lots of stories about autonomous cars.

After all, the term is mentioned on a weekly basis in the financial media and most auto/technology websites. But it's important to note there are different "levels" when it comes to driverless cars.

In short, there's a big difference between using Tesla's self-driving features on a highway (Level 2), and driverless cars roaming the streets in New York City (Level 5).

The goal for automakers is to get to Level 5. That's fully self-driving automation with no assistant from the driver. At Level 5, self-driving vehicles can operate on any road and any conditions (heavy traffic, bad weather, long trips).

Most experts agree, we are at least a decade from having fully autonomous cars like this.

However, the innovation that's taken place over the past few years is incredible. In fact, it's allowed some companies to achieve Level 4 status, or cars capable of driving themselves under certain conditions.

As with most major technology trends—PCs, mobile phones, video games—pricing is one of the biggest factors when it comes to mass adoption. Once prices fall to these levels where consumers can afford these products, the end result is worldwide adoption, or billions of devices sold.

The same will be said of self-driving cars. Prices for key technologies are falling, regulation in the industry is softening, and there is huge demand from consumers for self-driving cars.

In short, the odds of having Level 5 cars on the road are increasing almost on a monthly basis. Each major hurdle that's cleared results in these companies' stock prices going higher, creating huge opportunity for investors.

There is one name in particular that's about to become a pure-play on the

self-driving megatrend. That's automotive supplier **Delphi (NYSE: DLPH)**. And the stock is an absolute steal right now.

In 2005, Delphi learned a costly lesson.

Just six years after being spun off from General Motors, the company filed for bankruptcy. As it turns out, manufacturing commoditized auto parts is a bad business. When you're making the same basic parts as everyone else, the profits margins are virtually zero.

Things are a lot different today. The company sells more than $16 billion in auto parts annually, with consistent operating margins of 11%.

More important, Delphi's management is intent on not making the same mistake again.

The company reinvests almost 10% of its sales, putting that money back into research and development. Better products translate to higher sales and better margins. That's the reasoning behind a dramatic move the company announced a few months ago.

In March, Delphi said it plans to spin off its slower-growing Powertrain business. The company will split into two separate entities: one dedicated to traditional combustion-related technologies, and the other focused on growth-oriented technologies like connectivity and autonomous driving.

It's a very smart move.

The "old school" business should remain stable and profitable for another 10 or even 20 years. It can still benefit from the continued popularity of "regular" cars. And there's still plenty of opportunity to benefit from growing demand for the certain parts, like those that help improve emissions.

More important, the remaining company can focus 100% on becoming a true technology player.

In short, Delphi is narrowing its focus on products with the best growth outlook. That includes all of its most high-tech offerings, like sensors and various ECUs (electronic control units) responsible for controlling all the processes in a car.

The more automated our cars become, the more electronics they will need to purchase from suppliers like Delphi.

Trend #6: Infrastructure

America's infrastructure is in dire need of an upgrade.

There are over 84,000 dams in America and many are labeled as high-hazard. In fact, 90% of locks and dams have experienced unscheduled maintenance delays, leaving barges (that are transporting goods) parked for hours, according to a report by the American Society of Civil Engineers.

Dams are not the only infrastructure in need of a complete overhaul. More than two-thirds of our nation's roads and 143,000 bridges are classified as being in "dire need" of repair. And most of our water mains and pipes beneath cities are more than 100 years old.

The most recent report published by the ASCE suggests it would cost more than $3.3 trillion to fix our massive infrastructure problems.

The ASCE publishes a detailed report called the Infrastructure Report Card every four years. It examines the current infrastructure conditions, assigns grades from A-F, and makes recommendations for how to improve in 16 categories of infrastructure.

Based on the 2017 Infrastructure Report Card, the cumulative total of America's infrastructure has a GPA of D+. The worst grades were given to bridges, dams, roads, schools, transit, inland waterways, levees, wastewater and energy. That means they need immediate upgrades.

Here's some of the specific problems highlighted in the report:

- One in nine of the country's bridges are rated as structurally deficient, meaning they require significant maintenance, rehabilitation, or replacement.
- Of the 84,000 dams in the U.S., 14,000 are considered "high hazard" and 4,000 are deficient. It would cost $21 billion to repair these aging dams.

- 42% of the country's major urban highways are considered congested.
- 32% of major roads in the U.S. are in poor or mediocre condition.
- There are 240,000 water main breaks in the U.S. each year.
- Many water mains and pipes are over 100 years old.
- Airport congestion and delays will nearly double from $34 billion in 2020 to $63 billion in 2040.
- 90% of locks and dams experienced an unscheduled delay or service interruption.

It's no secret: America's infrastructure is old. It's not just the ASCE sounding the alarm. Major networks and news outlets have been reporting on the risks for more than a decade. And if upgrades are not made, it's likely we will see a major catastrophe.

There are a handful of individual names that will benefit from new infrastructure spending, but one particular construction company I've been following is right in the sweet spot of this megatrend: **Granite Construction (NYSE: GVA)**.

The company already has contracts with state and local governments to repair roads, bridges, dams, water pipes — just about every sub-segment a new infrastructure bill will cover.

In the engineering and construction space, backlog is critical. Most projects require months or years of design and planning before construction starts. Backlog represents revenue that you're expecting to get over the next few years.

Over the past five years, Granite has doubled its backlog from $1.7 billion to $3.5 billion. And that's in a tough environment with zero growth in public construction.

In short, no company is in a better position to capture new business as the U.S. starts spending to fix its crumbling infrastructure. If even a portion of the proposed $1 trillion in new infrastructure spending happens, it will be a multi-billion opportunity for Granite Construction.

Trend #7: Chemistry

Alcoa has made aluminum the same way since the late 19th century. Their profits are razor thin because everyone knows the aluminum manufacturing process and anyone can supply the appropriate chemicals and metals at just the right price.

However, this is going to change and someone is going to find a new way to make aluminum. They might discover new elements to use and new processes to smelt. Companies that hoard those elements or develop those new processes will benefit in a big way. Chemistry is going to be much more influential in the coming 10 to 20 years than information technology.

Keep track of the changes in how people are innovating in chemistry and suddenly you will see what's happening in alternative energy, battery storage, isolation of valuable chemical isotopes (like pure oxygen, for instance), etc. How do you make money on this? Read about it, keep an eye on the companies and markets involved, and you will see the right moment to place your bets. Just like the biotech markets, the chemistry space is difficult to value but the markets are huge, even in the trillions.

I could've called this trend "alternative energy" but that would be weak. Alternative energy comes and goes. First there's solar, then there's wind, then we're back to solar, and so on. But every change that finds its way back into alternative energy stocks starts off in a chemistry lab. I like to be where the technology is happening, as close to the laboratory as possible, in order to understand where to invest or where to build.

Does this mean I need to be a chemist? Not at all. I barely know what the periodic table is. But I am able to read the latest reports and try to figure out how they are going to be applied. Understanding trends is not a day trader's game. It's the long game. But since trends are so hard to value at the beginning, there are enormous profits to be made.

As an investor, I'm focused on finding the best ways to generate massive profits investing alongside megatrends like the rise of chemistry.

In order to do this, I look for companies that are making chemistry a bigger piece of their overall business. This includes both some of the largest companies in technology and smaller pure play chemistry companies.

Kronos (NYSE: KRO), for example, is a company that makes titanium dioxide. You've used their products probably 100 times today. Titanium dioxide can be found in everything from ink to food to sunscreen to paper and plastics.

The company has a 10% dividend.

About a year ago, there were millions of dollars' worth of purchases by the company's top management at higher prices than exist today.

When people think alternative energy, they think solar power, wind energy, and various other unproven technologies for fuel efficiency.

It's amazing to me how often the stock pundits on CNBC want to tout stocks that are government subsidized, don't work, and have never been used successfully.

The pundits do this because it's sexy.

How about something that actually works, is energy efficient, and is ALREADY useful? Make cars lighter so they use less fuel. That's what "fuel efficient" means.

Instead of using metal or glass, many cars in the past few years have started using a lighter thermoplastic called polycarbonate. Until recently, nobody wanted polycarbonate because it scratches easily.

Only in the past year or so car companies discovered that using titanium dioxide to coat the polycarbonate would improve its scratch resistance. Increased demand for fuel- efficient cars is directly correlated to demand for titanium dioxide.

Kronos produces 10% of the world's titanium dioxide. DuPont, which is at 16x next year's earnings and a 2.5% dividend, produces 23% of the world's supply.

I expect Kronos to catch up to DuPont in valuation metrics, which would imply anywhere from a 60% to 100% return in the short term.

Ugh, this sounds boring. I wish I could say "buy Uber" because I use Uber every day and it's so comfy to have that car waiting for me, and they have those little bottles of water, mmmph, and to not have to use cash...

But the reality is, I probably use Kronos' technologies more and don't even know it.

It's been 200 years since chemical companies have been fashionable in the public eye. This is going to change, as problems in computers, energy, pollution, medicine, will all rely on chemical solutions.

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